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*** Current through the 2013 Regular Session ***

Title 48 Corporations And Associations
Miscellaneous Corporation Provisions
Chapter 101 Special Purpose Corporations and Associations
Part 5 Solicitation of Charitable Funds

Tenn. Code Ann. § 48-101-502 (2013)

48-101-502. Exemptions.

(a) The registration requirements of this part do not apply to:

(1) Bona fide religious institutions, educational institutions, or cooperative scholarship corporations regulated by title 49, chapter 4, part 1;

(2) A charitable organization which does not intend to solicit and receive and does not actually raise or receive gross contributions (total solicited revenue before any solicitation expenses have been deducted) from the public in excess of thirty thousand dollars (\$30,000) during a fiscal year; provided, that if the contributions raised from the public by any charitable organization during any fiscal year shall be in excess of thirty thousand dollars (\$30,000), the charitable organization shall, within thirty (30) days after the date it shall have received total contributions in excess of thirty thousand dollars (\$30,000), register with, and report to, the secretary of state as required by this part;

(3) Volunteer fire departments, rescue squads or local civil defense organizations;

(4) Community fairs, county fairs, district fairs and division fairs, as defined in § 43-21-104, that have been qualified by the commissioner of agriculture to receive state aid grants, pursuant to title 43, chapter 21, part 1;

(5) Political parties, candidates for federal or state office, and political action committees required to file financial information with federal or state election commissions;

(6) Hospitals and nursing homes that are subject to regulation by the department of health; and

(7) Any corporation established by an act of congress of the United States that is required by federal law to submit annual reports of its activities to congress containing itemized accounts of all receipts and expenditures after being fully audited by the department of defense.

(b) "Educational institution," for the purposes of this section, means an organization organized and operated exclusively for educational purposes and which normally maintains a regular faculty and curriculum and normally has a regularly enrolled body of pupils or students in attendance at the place where its educational activities are regularly carried on, and which is accredited by a recognized accrediting agency. Included in such definition are organizations composed of parents of students and other persons connected with the institution, which are organized and operated for the purpose of conducting activities in support of the operations or extracurricular activities of such institutions. "Educational institution" also includes private foundations soliciting contributions exclusively for such organizations.

(c) "Bona fide religious institutions," for the purpose of this part, includes:

(1) Ecclesiastical or denominational organizations, churches or established physical places for worship in

this state, at which nonprofit religious services and activities are regularly conducted and carried on, and also includes those bona fide religious groups which do not maintain specific places of worship and which are not subject to federal income tax and are not required to file an IRS Form 990 under any circumstance; and

(2) Such separate groups or corporations which form an integral part of those institutions which are exempt from federal income tax as exempt organizations under § 501(c)(3), of the Internal Revenue Code of 1954, codified in 26 U.S.C. § 501(c)(3), or of a corresponding section of any subsequently enacted federal revenue act, and which are not required to file an IRS Form 990 under any circumstance, and which are not primarily supported by funds solicited outside their own membership or congregation; and

(3) Such institutions soliciting contributions for the construction and maintenance of a house of worship or residence of a clergy member.

(d) Any charitable organization that claims to be exempt from the registration provisions pursuant to subdivision (a)(2) and that intends to or does solicit charitable contributions shall submit, to the secretary of state, a statement of the name, address and purpose of the organization and a statement setting forth the reason for the claim for exemption. This statement shall be on a form prescribed by the secretary of state and shall be sworn to or affirmed by the principal officer of the charitable organization. No registration fee shall be required of any exempt charitable organization.

(e) Exemption from the registration requirements of this part shall not limit the applicability of other provisions of this part to a charitable organization.

HISTORY: Acts 1976, ch. 735, § 2; 1983, ch. 363, § 1; 1984, ch. 827, § 1; T.C.A., § 48-2202; Acts 1991, ch. 110, § 1; 1994, ch. 667, §§ 6-11; T.C.A., § 48-3-502; Acts 1996, ch. 907, §§ 4, 5; 2005, ch. 457, § 1; 2007, ch. 523, §§ 6-10; 2009, ch. 253, § 1; 2011, ch. 232, §§ 2, 3.

Tenn. Code Ann. § 48-101-504

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*** Current through the 2013 Regular Session ***

Title 48 Corporations And Associations
Miscellaneous Corporation Provisions
Chapter 101 Special Purpose Corporations and Associations
Part 5 Solicitation of Charitable Funds

Tenn. Code Ann. § 48-101-504 (2013)

48-101-504. Filing of registration statement -- Initial registration -- Fee.

(a) (1) Every charitable organization which intends to solicit contributions from or within this state, or have funds solicited on its behalf, shall, prior to any solicitation, file a registration statement with the secretary of state, upon forms prescribed by the secretary of state. Any registration statement which contains false, misleading, deceptive or incomplete information or documentation shall not be considered sufficient, except as specifically otherwise provided in this part.

(2) The initial registration statement shall contain the following information:

(A) The name of the organization and the purpose for which it was organized;

(B) The principal address of the organization and the address of any offices in this state. If the organization does not maintain an office, the name and address of the person having custody of its financial records;

(C) The names and addresses of any chapters, branches or affiliates in this state;

(D) The place where, and the date when, the organization was legally established, the form of its organization, and a reference to any determination of its tax exempt status under the Internal Revenue Code, compiled in 26 U.S.C.;

(E) The names and addresses of the officers, directors, trustees and the principal salaried executive staff officer;

(F) A statement as to whether the organization intends to solicit contributions from the public directly or have such done on its behalf by others and submit a true copy of any contract or agreement with any professional solicitor, fundraising counsel, or any other person who is directly or indirectly involved with the solicitation of contributions;

(G) A statement as to whether the organization is authorized by any other governmental authority to solicit contributions and whether it is or has ever been enjoined by any court from soliciting contributions;

(H) The general purpose or purposes for which the contributions to be solicited shall be used;

(I) The name or names under which it intends to solicit contributions;

(J) The names of the individuals or officers of the organization who will have final responsibility for the custody of the contributions;

(K) The names of the individuals or officers of the organization responsible for the final distribution of the contributions; and

(L) A statement as to whether any officer, director, manager, operator, or principal of the charitable organization has been the subject of an injunction, judgment, or administrative order or has been convicted of a felony.

(b) Except as otherwise herein provided, the registration forms and any other documents prescribed by the secretary of state shall be signed by two (2) authorized officers of the charitable organization, and such forms and documents shall be accompanied by an initial registration fee of fifty dollars (\$50.00); provided, that bona fide Indian organizations whose principal purpose is to assist and promote the welfare of Indians shall be exempt from the registration fee. For the purposes of this subsection (b), a bona fide Indian organization shall be one that has been in existence for more than twenty (20) years and that carries out programs and provides services to federally recognized Indians.

(c) During its first year of operation, a newly registered charitable organization shall provide quarterly financial reports, due within thirty (30) days after the end of each quarter of its current fiscal year, containing the following information:

(1) The gross amount of contributions received;

(2) The amount of contributions disbursed or to be disbursed to each charitable organization or charitable purpose represented;

(3) The aggregate amounts paid to any professional solicitor and/or fund raising counsel; and

(4) The amounts spent for overhead, expenses, commissions and similar purposes.

(d) Every charitable organization required to register pursuant to this part, having completed a fiscal year of operation, shall file with the secretary of state a financial report for its most recently completed fiscal year, in accordance with § 48-101-506(b)(1) and (2) or (b)(3) [repealed].

(e) Any organization which has applied for but not received a determination of tax exempt status shall file a copy of the completed application which has been submitted to the internal revenue service, and any letters received from the internal revenue service acknowledging receipt of the application.

(f) Any senior citizen center that obtains funding for the operation of its programs with funds provided through a contract with the state of Tennessee or through the federal government, as provided by the Older Americans Act of 1965, compiled in 42 U.S.C. § 3001 et seq., or other contracts primarily designed for the benefit of aged persons, is exempt from the annual registration fee of this section, if the center attaches a complete copy of the contract to the registration form, and the secretary of state certifies the contract is valid. For the purposes of this subsection (f), "senior citizen center" means a charitable organization represented and held out to the general public as a facility which contracts for meals, education, physical fitness, social contact and comfort to be provided to aged persons for the general welfare of the local community.

HISTORY: Acts 1976, ch. 735, § 4; T.C.A., § 48-2204; Acts 1989, ch. 285, §§ 6-8; 1991, ch. 299, § 3; 1993, ch. 252, § 1; 1994, ch. 667, §§ 12-16; T.C.A., § 48-3-504; Acts 1996, ch. 575, § 1; 1996, ch. 907, § 6; 2007, ch. 474, § 1; 2007, ch. 523, § 12.

Tenn. Code Ann. § 48-101-506

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*** Current through the 2013 Regular Session ***

Title 48 Corporations And Associations
Miscellaneous Corporation Provisions
Chapter 101 Special Purpose Corporations and Associations
Part 5 Solicitation of Charitable Funds

Tenn. Code Ann. § 48-101-506 (2013)

48-101-506. Issuance of registration -- Renewal -- Withdrawal of registration.

(a) The secretary of state shall examine each application for conformity with the requirements of this part and all relevant rules and regulations.

(b) A renewal of registration shall be made in the same manner as the initial registration. The renewal registration shall be accompanied by the following:

(1) (A) A copy of a financial statement on forms approved by the secretary of state. Such report shall also specifically identify the amount of funds raised and all costs and expenses incidental thereto, all publicity costs, and costs of allocation or disbursement of funds raised. This report shall be signed by at least two (2) authorized officers of the organization, one of whom shall be the chief fiscal officer. Such officers shall certify that such report is true and correct to the best of their knowledge; and

(B) The secretary of state may require, by regulation, a copy of any and all forms required to be filed by the organization with the United States internal revenue service, and any other information the secretary deems appropriate to substantiate how funds were raised and spent by the organization.

(2) (A) The annual report of every charitable organization which received in excess of five hundred thousand dollars (\$500,000) in gross revenue during the most recently completed fiscal year shall be accompanied by:

(i) An audited financial statement, presented in accordance with generally accepted accounting principles which has been examined by an independent certified public accountant for the purpose of expressing an opinion thereon; and

(ii) Any and all forms required to be filed by a charitable organization with the United States internal revenue service.

(B) For the purpose of determining gross revenue for this subdivision (b)(2) only, grants received from government agencies and private foundations, designated by the internal revenue service as § 501(c)(3) organizations, codified in 26 U.S.C. § 501(c)(3), shall be excluded.

(c) (1) The registration renewal statement shall be signed by two (2) authorized officers of the charitable organization, one of whom shall be the chief fiscal officer, and such forms and documents shall be accompanied by a registration renewal fee in accordance with the following schedule: [Click here to view image.](#)

(2) For purposes of this subsection (c), "organization's gross revenue" means the latest figures for annual gross revenue from whatever source reported by the organization to the secretary of state pursuant to subsection (b).

(d) Each charitable organization shall file all information required by this part with the secretary of state within six (6) months of the close of its fiscal year. The last day of the sixth month following the month in which the fiscal year of the organization ends shall be the anniversary date of the organization. All registrations shall expire each year on the anniversary date of the organization. Each annual registration application shall be received by the secretary of state on or before the anniversary date. Each charitable organization shall be required to supplement its registration application during the registration period as changes occur which affect the documentation required by § 48-101-504(a).

(e) For good cause shown, the secretary of state may extend the time for filing a renewal application for a period not to exceed ninety (90) days, during which time the previous registration remains in effect. "Good cause" includes, but is not limited to, filing an application for extension of time to file an exempt organization return with the internal revenue service.

(f) Applications received after the expiration of the current registration period shall be assessed a late fee of twenty-five dollars (\$25.00) for each month, or portion thereof, that the report is late filed. The late filing fee shall accompany every late filed application. In addition to the late fee provided for herein, any organization which files a late application is also subject to the imposition of civil penalties for violation of any portion of this part.

(g) Any person that intends to continue to solicit contributions after its anniversary date and fails to renew its registration by the time of the expiration thereof is in violation of this part.

(h) Any person that ceases solicitation activities after registration must notify the secretary of state of such fact within thirty (30) days after solicitation activities end. Within ninety (90) days after the end of the solicitation activities or ninety (90) days after its fiscal year ends, that person shall file with the secretary financial documentation, pursuant to subsection (b).

HISTORY: Acts 1976, ch. 735, § 4; T.C.A., § 48-2204; Acts 1989, ch. 285, §§ 10, 11; 1993, ch. 252, § 14; 1994, ch. 667, §§ 17, 18; T.C.A., § 48-3-506; Acts 1996, ch. 907, § 7; 1997, ch. 227, §§ 1-3; 2001, ch. 97, § 1; 2007, ch. 523, §§ 13-16, 37.

*** Current through the 2013 Regular Session ***

Title 48 Corporations And Associations
Miscellaneous Corporation Provisions
Chapter 101 Special Purpose Corporations and Associations
Part 5 Solicitation of Charitable Funds

Tenn. Code Ann. § 48-101-507 (2013)

48-101-507. Professional solicitor -- Fund raising counsel -- Registration -- Qualifications -- Employees -- Bond -- Fee -- Reports.

(a) (1) No person shall act as a professional solicitor for any charitable organization, whether exempt from this part or not, unless such person has first registered with the secretary of state. Registration shall include the filing of a complete application, bond and filing fee.

(2) No person who has been convicted within the past five (5) years for a violation of any provision of this part, and no person convicted of a felony in this or any other state, shall serve as an employee, member, officer or agent of any professional solicitor until such person's civil rights have been restored. The professional solicitor shall maintain during each solicitation campaign and for three (3) years after its completion the name and address of each employee, agent, or other person involved in the solicitation campaign.

(3) Application for registration shall be in writing in the form prescribed by the secretary of state and contain such information as the secretary of state may require. A registration application that contains false, misleading, deceptive or incomplete information or document shall not be considered sufficient or complete. All registrations for professional solicitors shall expire on December 31 of the year for which they are issued.

(4) Applications received after December 31 shall be assessed a late fee of twenty-five dollars (\$25.00) for each month, or portion thereof, that the report is late filed. The late filing fee shall accompany every late-filed application. In addition to the late fee provided for herein, any organization which files a late application is also subject to the imposition of civil penalties for violation of any portion of this section.

(5) A bond in the sum of twenty-five thousand dollars (\$25,000) shall be filed with the registration application and shall be approved by the secretary of state. The bond shall name the applicant as the principal obligor with one (1) or more sureties, satisfactory to the secretary of state, whose liability in the aggregate as such sureties will at least equal that sum. It shall be payable to the State of Tennessee for the use of the secretary of state and any person who may have a cause of action against the obligor of the bond for any violations under this part or for any losses resulting from malfeasance, nonfeasance or misfeasance in the conduct of solicitation activities. An individual, partnership or corporation, which is a professional solicitor, may file a consolidated bond on behalf of all its members, officers and employees. The bond shall continue in effect so long as a registration is in effect.

(6) The annual registration fee for every person who is a professional solicitor shall be eight hundred dollars (\$800).

(b) (1) No person shall act as a fundraising counsel for any charitable organization, whether exempt from this part or not, unless such person has first registered with the secretary of state. Registration shall include the filing of a complete application and filing fee.

(2) Application for registration shall be in writing in the form prescribed by the secretary of state and contain such information as the secretary of state may require. A registration application that contains false, misleading, deceptive or incomplete information or document shall not be considered sufficient or complete. All registrations for fundraising counsel shall expire on December 31 of the year for which they

are issued.

(3) Applications received after December 31 shall be assessed a late fee of twenty-five dollars (\$25.00) for each month, or portion thereof, that the application is late filed. The late filing fee shall accompany every late-filed application. In addition to the late fee provided for herein, any person who files a late application is also subject to the imposition of civil penalties for violation of any portion of this section.

(4) The annual registration fee for every person who is a fundraising counsel shall be two hundred fifty dollars (\$250).

(c) (1) A professional solicitor shall file a financial report for a solicitation campaign with the secretary of state within ninety (90) days after a solicitation campaign has been completed or within ninety (90) days after the end of the fiscal year end of any campaign which lasts for more than one (1) year. The financial report shall include gross revenue and an itemization of all expenditures from those funds. The report shall be completed on a form prescribed by the secretary of state and signed by an authorized official of the professional solicitor and two (2) authorized officials of the charitable organization, who shall certify that such report is true and complete to the best of their knowledge. The financial report shall be audited by an independent certified public accountant in accordance with generally accepted auditing standards or regulations which may be issued by the secretary of state. If the solicitation campaign which is conducted by a professional solicitor is one conducted nationally or regionally and is not confined only to this state, the financial information required to be filed pursuant to this subsection (c) shall be inclusive of the national or regional campaign. Each charitable organization shall make available to its professional solicitor any necessary fiscal or other records needed to enable the professional solicitor to comply with this subsection (c).

(2) Financial reports for solicitation campaigns shall be assessed a late fee of twenty-five dollars (\$25.00) for each month, or portion thereof, that the report is late filed. The late filing fee shall accompany every late-filed campaign report. In addition to the late fee provided for herein, any person who files a late financial report is also subject to the imposition of civil penalties for violation of any portion of this section.

(3) A professional solicitor or fund-raising counsel who, by contractual agreement with a charitable organization, does not receive donations on behalf of a charitable organization, does not have access to the funds raised and does not make deposits to and does not have signature authority with, or any other authority over, a charitable organization's bank accounts, shall not be required to file an audited financial statement as set forth in subdivision (c)(1). In lieu of the audited financial statement, the professional solicitor or fund-raising counsel shall be required to file with the secretary of state, on a form approved by the secretary of state, a financial report which provides an itemization of expenses, costs, reimbursements and fees the charitable organization is charged for each solicitation campaign performed. The form shall be due within ninety (90) days after the completion of any campaign or within ninety (90) days after the end of the fiscal year of any campaign which lasts longer than one (1) year. The report shall be signed by an authorized official of the professional solicitor and two (2) authorized officials of the charitable organization, who shall certify under oath that such report is true and complete to the best of their knowledge.

HISTORY: Acts 1976, ch. 735, § 7; T.C.A., § 48-2207; Acts 1989, ch. 285, §§ 12-17; 1991, ch. 299, §§ 4-7; 1993, ch. 252, §§ 2, 3; 1994, ch. 667, §§ 19-24; T.C.A., § 48-3-507; Acts 1997, ch. 227, §§ 4-11; 2001, ch. 97, §§ 2-4; 2007, ch. 523, §§ 17-23, 38.

Tenn. Code Ann. § 48-101-513

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*** Current through the 2013 Regular Session ***

Title 48 Corporations And Associations
Miscellaneous Corporation Provisions
Chapter 101 Special Purpose Corporations and Associations
Part 5 Solicitation of Charitable Funds

Tenn. Code Ann. § 48-101-513 (2013)

48-101-513. Violations -- Required notices, disclosures, records.

(a) No charitable organization subject to this part shall solicit funds from the public, except for charitable purposes, or expend funds raised for charitable purposes for noncharitable purposes.

(b) Unfair, false, misleading or deceptive acts and practices affecting the conduct of solicitations for contributions are declared unlawful. No person shall use or intend to use false or materially misleading advertising or promotional material in connection with any solicitation for a charitable organization or a charitable purpose. It is the intent of the general assembly that the courts in interpreting this provision should look to the judicial interpretations given the Tennessee Consumer Protection Act, compiled in title 47, chapter 18, part 1, and § 5(A)(1) of the Federal Trade Commission Act, codified in 15 U.S.C. § 45(a)(1), for guidance.

(c) No charitable organization subject to this part shall use or exploit the fact of registration so as to lead the public to believe that such registration in any manner constitutes an endorsement or approval by the state, but the use of the following statement shall not be deemed a prohibited exploitation: "Registered with the Tennessee Secretary of State as required by law. Registration No. _____."

(d) No person shall, in connection with the solicitation of contributions for or the sale of goods or services of, a person other than a charitable organization, misrepresent to or mislead anyone by any manner, means, practice or device whatsoever, to believe that the person on whose behalf such solicitation or sale is being conducted is a charitable organization, or that the proceeds of such solicitation or sale will be used for charitable purposes, if such is not the fact.

(e) No person shall, in connection with the solicitation of contributions or the sale of goods or services for charitable purposes, represent to or lead anyone by any manner, means, practice or device whatsoever, to believe that any other person sponsors or endorses such solicitation of contributions, sale of goods or services for charitable purposes or approves of such charitable purposes, or a charitable organization connected therewith, when such person has not given written consent to the use of such person's name for these purposes; any member of the board of directors or trustees of a charitable organization or any other person who has agreed either to serve or to participate in any voluntary capacity in the campaign shall be deemed thereby to have given such member's consent to the use of such member's name in the campaign.

(f) No person shall make any representation that such person is soliciting contributions for or on behalf of a charitable organization or shall use or display any emblem, device or printed matter belonging to or associated with a charitable organization for the purpose of soliciting or inducing contributions from the public without first being authorized to do so by the charitable organization.

(g) No professional solicitor shall solicit, in any manner whatsoever, in the name of a charitable organization, whether exempt from this part or not, unless:

(1) Prior to the commencement of each solicitation campaign, a completed solicitation campaign notice has been filed by a professional solicitor with the secretary of state on forms prescribed by the secretary

of state. Such notice shall include, but not be limited to, a description of the solicitation event or campaign, the location and the telephone number from which the solicitation is to be conducted, the names and residence addresses of each employee or other person who is working in connection with such campaign, and the account number and location of all bank accounts where receipts from such campaign will be deposited. An authorized official of the charitable organization on whose behalf the professional solicitor is acting, as well as an authorized official of the professional solicitor, shall certify that the solicitation campaign notice is true and complete. Within seventy-two (72) hours after any modifications or changes in the information or documentation required herein, the secretary of state shall be notified in writing of such changes;

(2) (A) Prior to beginning any solicitation, such professional solicitor has filed with the secretary of state a true copy of any written agreement or contract which may have been entered into between a charitable organization and the professional solicitor, which shall state the minimum amount or percentage, if any, which a charitable organization shall receive of revenues solicited, after solicitation expenses, as a result of a solicitation campaign;

(B) If any agreement or contract between a professional solicitor and a charitable organization is oral, a written summary of the agreement or contract which sets forth the terms, conditions, fees, percentage splits and costs of the oral agreement or contract must be submitted to the secretary of state prior to beginning any solicitation or sales promotion campaigns;

(C) Within seven (7) days of any change, modification or termination of any agreement or contract that a professional solicitor has entered into with a charitable organization, a notice of such change, modification or termination must be filed with the secretary of state, along with a true copy of the new agreement which includes the changes and modifications in the terms, conditions, fees, percentage splits and costs.

(h) (1) A fund-raising counsel, upon entering into an agreement with any charitable organization, whether exempt from this part or not, must submit to the secretary of state a true copy of any written agreement or contract with a charitable organization prior to beginning any consultation services. If the agreement or contract is oral, a written summary of the agreement or contract which sets forth the terms, conditions and consulting fees of the agreement or contract must be submitted to the secretary of state prior to beginning any consultation services.

(2) Within seven (7) days of any change, modification or termination of any agreement or contract a fund-raising counsel has entered into with a charitable organization, a notice of such change, modification or termination must be filed with the secretary of state, along with a true copy of the new agreement which includes the changes and modifications in the terms, conditions or consulting fees.

(i) (1) A paid solicitor shall be responsible for complying with, or for causing compliance with, each of the following requirements:

(A) Prior to orally requesting a contribution, or contemporaneously with a written request for a contribution, it shall be clearly and conspicuously disclosed at the point of solicitation the name of the paid solicitor as on file with the division and that the solicitation is being conducted by a paid solicitor;

(B) In the case of a solicitation campaign conducted orally, whether by telephone or otherwise, a written confirmation shall be sent to each person who has contributed or pledged to contribute, within five (5) days after that person has been solicited, which shall include a clear and conspicuous disclosure of the information required by subdivision (i)(1)(A); and

(C) It shall not be represented that tickets to events will be donated for use by another, unless the following requirements have been met:

(i) The paid solicitor has commitments in writing from charitable organizations stating that they will accept donated tickets and specifying the number of tickets they are willing to accept; and

(ii) No more contributions for donated tickets shall be solicited than the number of ticket commitments received from charitable organizations.

(2) The professional solicitor shall maintain a record of the names of donors, their addresses and the date that their donations were received for a three-year period after a solicitation campaign has been completed. No donor list, information or documentation, required to be maintained under this subsection (i), which is obtained by the secretary of state pursuant to this part, unless otherwise ordered by a court for good cause shown, shall be produced for inspection, copied by or its contents disclosed to any person other than an authorized representative of the secretary of state, the attorney general and reporter or the attorney general and reporter's representative, or other proper law enforcement officials for the purpose of enforcing this part or prosecuting other criminal or civil violations, without the consent of the person who produced the information or documentation. The secretary of state, the attorney general and reporter or the attorney general and reporter's representative or other proper law enforcement officials may use such information or documentation as determined necessary in the enforcement of this part or other criminal or civil laws, including the presentation as part of any administrative or judicial proceedings.

(3) Prior to the commencement of each solicitation campaign, a professional solicitor shall file with the secretary of state copies, or samples, of each type of solicitation campaign literature or promotional materials utilized in the solicitation campaign, including, but not limited to, the text of any solicitation scripts or pitches made to the public orally, which is utilized in the campaign. Within seven (7) days after any modification or changes in campaign solicitation literature or promotional materials utilized by the professional solicitor, the secretary of state shall be notified in writing and be given samples or copies of such changes and modifications.

(j) No person shall, in connection with the solicitation of contributions or the sale of goods, magazines, newspaper advertising, or any other service, use the name "POLICE," "FIREFIGHTER," or "FIREMEN," unless properly authorized by a bona fide police or firefighter organization or police or fire department. Such authorization must bear the signatures of two (2) bona fide members of the organization or department.

(k) (1) No person or organization, subject to this part, who fails to file any registration application, statement, report, or other information required to be filed with the secretary of state under this part as a prerequisite to registration shall engage in any of the activities permitted duly registered persons or organizations under this part. No person or organization shall engage in charitable solicitation without a current registration; and

(2) No professional solicitor shall engage in solicitations on behalf of a nonexempt charitable organization, if such professional solicitor has knowledge that such nonexempt organization has failed to file a registration application with the secretary of state.

(l) A professional solicitor, such professional solicitor's agent, servant or employee shall disclose upon request by the solicitee the percentage of gross contributions raised by the professional solicitor which shall be received by the charitable organization after solicitation expenses, if known, or otherwise disclose the guaranteed minimum contract amount, which the charitable organization shall receive as a result of the solicitation campaign.

HISTORY: Acts 1976, ch. 735, § 13; T.C.A., § 48-2213; Acts 1989, ch. 285, §§ 23-29; 1991, ch. 299, § 9; 1993, ch. 252, § 5; 1994, ch. 667, §§ 25-30; T.C.A., § 48-3-513; Acts 2007, *cTenn. Code Ann. § 48-101-522*

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*** Current through the 2013 Regular Session ***

Title 48 Corporations And Associations
Miscellaneous Corporation Provisions
Chapter 101 Special Purpose Corporations and Associations
Part 5 Solicitation of Charitable Funds

Tenn. Code Ann. § 48-101-522 (2013)

48-101-522. Requirement of filing financial reports by charitable organizations soliciting and receiving contributions for disasters.

(a) Any charitable organization, other than a bona fide religious institution, that solicits and receives contributions exceeding twenty-five thousand dollars (\$25,000) for a charitable purpose related to a disaster in this state shall file quarterly financial reports with the secretary of state, on forms prescribed by the secretary of state, detailing the money raised and expended by the organization as a result of the solicitation, until the funds are expended. The first quarterly report shall be filed on the last day of the third month following the commencement of solicitations.

(b) Any charitable organization other than a bona fide religious institution, which solicited and received contributions exceeding twenty-five thousand dollars (\$25,000) for a charitable purpose related to a disaster in this state between May 1, 2010, and May 20, 2011, shall file a financial report with the secretary of state, on a form prescribed by the secretary of state, on June 30, 2011. The report shall detail all funds received and expended by the organization as a result of the solicitation. After June 30, 2011, the organization shall file quarterly financial reports with the secretary of state, on forms prescribed by the secretary of state, detailing the money raised and expended by the organization as a result of the solicitation, until the funds are expended.

HISTORY: Acts 2011, ch. 232, § 4.

h. 523, §§ 25-33.

Tenn. Code Ann. § 35-11-102

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*** Current through the 2013 Regular Session ***

Title 35 Fiduciaries And Trust Estates
Chapter 11 Fundraising for Catastrophic Illnesses

Tenn. Code Ann. § 35-11-102 (2013)

35-11-102. Trust relationship prerequisite to accepting contributions -- Beneficiaries.

(a) Before accepting any contributions for such fundraising activities, the organizer or promoter shall enter into a trust relationship with a bank or trust company or shall establish a trust in the name of an individual, "_____ [name of beneficiary] trust, _____ trustee", or words to the same effect; provided, that if in violation of this chapter contributions are accepted prior to entering into the trust relationship, then those contributions shall be placed in trust immediately upon establishment of the required trust relationship.

(b) The beneficiary of the trust shall be the named individual for whom the funds are being raised.

(c) Contingent beneficiaries shall be selected as provided in § 35-11-103.

(d) On the establishment of a trust for purposes regulated by this chapter, the trustee shall file written notice of the establishment of the trust on forms prescribed by the secretary of state with the division of charitable solicitation in the office of the secretary of state. No person or entity may solicit funds on behalf of an individual with a catastrophic illness that is subject to this chapter prior to the filing of this notice with the division. For any trust regulated under this chapter on July 1, 2007, the notice shall be filed on or before August 1, 2007.

(e) A trustee, other than a bank or trust company acting as trustee, shall file an accounting of the trust with the division of charitable solicitations each year on the anniversary of the establishment of the trust.

HISTORY: Acts 1989, ch. 386, § 1; 2007, ch. 430, §§ 3, 6.

Tenn. Code Ann. § 3-17-103

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*** Current through the 2013 Regular Session ***

Title 3 Legislature
Chapter 17 Tennessee Charitable Gaming Implementation Law

Tenn. Code Ann. § 3-17-103 (2013)

3-17-103. Annual events -- Application -- Organizational requirements and restrictions -- Proceeds -- Omnibus list of qualifying applicants -- Submission of financial accounting.

(a) (1) (A) A 501(c)(3) organization seeking to operate an annual event for the benefit of that organization located in this state shall submit an annual event application to the secretary:

(i) By December 31, 2008, for the annual event period beginning July 1, 2009, and ending June 30, 2010, and by December 31 in subsequent years, for subsequent annual event periods;

(ii) Notwithstanding any provision of this chapter to the contrary, within fifteen (15) calendar days after May 7, 2009, for the annual event period beginning July 1, 2009, and ending June 30, 2010;

(iii) Notwithstanding any provision of this chapter to the contrary, within fifteen (15) calendar days after March 25, 2010, for the annual event period beginning July 1, 2010, and ending June 30, 2011;

(iv) Notwithstanding any provision of this chapter to the contrary, within five (5) calendar days after March 24, 2011, for the annual event period beginning July 1, 2010, and ending June 30, 2011;

(v) Notwithstanding any provision of this chapter to the contrary, within five (5) calendar days after

March 24, 2011, for the annual event period beginning July 1, 2011, and ending June 30, 2012;

(vi) Notwithstanding any provision of this chapter to the contrary, within two (2) calendar days after April 16, 2012, for the annual event period beginning July 1, 2011, and ending June 30, 2012;

(vii) Notwithstanding any provision of this chapter to the contrary, within three (3) calendar days after April 17, 2012, for the annual event period beginning July 1, 2012, and ending June 30, 2013; and

(viii) Notwithstanding any provision of this chapter to the contrary, within three (3) calendar days after April 8, 2013, for the annual event period beginning July 1, 2013, and ending June 30, 2014.

(B) For purposes of the submission deadline, the postmark date on the annual event application shall be considered the date of submission; provided, that for the purposes of the submission deadline pursuant to subdivision (a)(1)(A)(viii), an annual event application shall not be considered submitted to the secretary until in the physical possession of the secretary as evidenced by the secretary's date and time endorsement on such documentation.

(2) The organization shall be a 501(c)(3) organization as defined in § 3-17-102.

(3) (A) A 501(c)(3) organization, including chapters or affiliates operating under the same tax exemption, shall not operate more than one (1) annual event within any twelve-month period beginning July 1 and ending June 30.

(B) (i) An annual event shall be operated at a single location within a county in Tennessee where the 501(c)(3) organization has a physical presence or in a county that is contiguous to a county where the organization maintains a physical presence, as disclosed pursuant to § 3-17-104(a)(2)(A), or a 501(c)(3) organization may operate an annual event on the same day in one (1) county where it has a physical presence in each grand division of the state as described in §§ 4-1-201 -- 4-1-204. Such location, or locations, shall be listed as the location of the annual event in the annual event application pursuant to § 3-17-104(a)(16).

(ii) Nothing in this subdivision (a)(3)(B) shall be construed to limit the ability of an organization to sell tickets, shares, chances or similar records for an authorized annual event in any political subdivision of this state.

(iii) No more than two (2) annual events per calendar month shall be held at the same location in each county during any annual event period. For the purpose of this subdivision (a)(3)(B), "location" means a single physical site in a county identified by an address or unique descriptive feature.

(C) Notwithstanding any provision of this chapter to the contrary, a 501(c)(3) organization authorized to conduct an annual event may change the location of the annual event if the location listed on the annual event application is subsequently unavailable during the time in which the annual event was to be conducted and if the following conditions are satisfied:

(i) Written notice is give to the secretary of state, Tennessee bureau of investigation and district attorney general for the judicial district in which the annual event is to be conducted, stating that the listed location is unavailable, the reason for unavailability, and the new location;

(ii) Sufficient public notice is given by means of posting notice on the organization's web site, if any, and by publication in a newspaper of general circulation in the county in which the annual event will be conducted; and

(iii) The new location complies with subdivision (a)(3)(B)(iii).

(4) (A) A 501(c)(3) organization may operate an annual event in conjunction with one (1) or more 501(c)(3) organizations under the following circumstances:

(i) Each 501(c)(3) organization files an independent annual event application including, but not limited to, the appropriate application fee, in accordance with the provisions of this chapter;

(ii) Each 501(c)(3) organization submits, with the annual event application, a joint statement of authorization indicating the intention to conduct a joint annual event and listing all organizations participating in such joint event; and

(iii) Each 501(c)(3) applicant is in compliance with the provisions of this chapter and is eligible for inclusion on the omnibus list.

(B) If one (1) or more 501(c)(3) organizations are not eligible for inclusion on the omnibus list, or fail to timely file an annual event application, all applicants for a joint annual event shall be excluded from the omnibus list. No provision of this subdivision (a)(4) shall be construed as authorizing a 501(c)(3) organization participating in a joint event to operate, participate or conduct, jointly or otherwise, more than one (1) annual event within any twelve-month period beginning July 1 and ending June 30.

(5) (A) (i) Except as otherwise provided in this subdivision (a)(5), a 501(c)(3) organization authorized to conduct an annual event pursuant to the provisions of this chapter shall not employ, contract with, or otherwise utilize the services of any person including, but not limited to, any management company, consultant or other entity, to manage, conduct or operate any aspect of an annual event. An authorized annual event shall be managed, conducted and operated only by bona fide directors, officers or employees of a 501(c)(3) organization who:

(a) Manage, conduct or operate only one (1) such annual event in any twelve-month period beginning on July 1 and ending on June 30 each year for any 501(c)(3) organization; and

(b) Receive no compensation for duties associated with the annual event from the proceeds of the annual event except compensation otherwise due to such person in the normal course of business. In no event shall such person's normal compensation, or any other form of compensation or benefit including, but not limited to, any bonus payment or any other form of supplemental payment, be based upon or determined by reference to a percentage of the proceeds derived from the operation of the annual event, the number of people participating in the annual event or any other factor related to the annual event.

(ii) Unpaid volunteer personnel, including members of a 501(c)(3) organization, may be utilized by a 501(c)(3) organization to manage, conduct or operate an annual event.

(B) (i) Nothing in this subdivision (a)(5) or § 39-17-654(b) shall be construed as prohibiting a 501(c)(3) organization from purchasing, leasing or accepting donations of prizes, facilities, locations, advertising services, printing services, telephone services and any records, devices or other supplies necessary to conduct an authorized annual event; provided, that the compensation paid for such purchases or leases shall not be at a price greater than fair market value and shall not be based on a percentage of the proceeds of an annual event or by any other contingency agreement based on the proceeds of an annual event.

(ii) No 501(c)(3) organization shall purchase or lease prizes, facilities, locations, advertising services, printing services, telephone services and any records, devices or other supplies necessary to conduct an authorized annual event from any director, officer or employee of the 501(c)(3) organization.

(iii) [Deleted by 2005 amendment.]

(6) (A) Except as provided in subdivision (a)(6)(B), a 501(c)(3) organization authorized to conduct an annual event pursuant to the provisions of this chapter shall return all of the gross proceeds, less any amount expended pursuant to subdivision (a)(5)(B), to the organization for the purposes or programs described in § 3-17-104(a)(19), but in any event, a 501(c)(3) organization shall return at least twenty-five percent (25%) of gross proceeds to the organization for the purposes or programs described in § 3-17-104(a)(19).

(B) A 501(c)(3) organization that fails to return at least twenty-five percent (25%) of gross proceeds from the annual event to the purposes or programs described in § 3-17-104(a)(19) in any year shall file notice with the secretary on a form prescribed by the secretary. If, in the sound discretion of the

secretary, the organization was not at fault in failing to return the required percentage, the organization shall be allowed to file an annual event application for the next annual event period; provided, that if an organization fails to return the required percentage in two (2) consecutive annual event periods, the organization shall be permanently disqualified from filing annual event applications. If an organization is not permitted by the secretary to file an event application pursuant to this subdivision (a)(6)(B), the organization may request a review and appeal pursuant to the procedures set forth in § 3-17-105(g) and (h).

(C) As used in this subdivision (a)(6), gross proceeds shall not include revenue disclosed as the fair market value of any donated prizes, goods and services.

(b) (1) The secretary shall review all annual event applications timely submitted and shall transmit an omnibus list of qualifying applicants to the clerk of the senate and the clerk of the house of representatives in an electronic format, as is required by the respective clerks, on or before May 4, 2004, and by March 1 in any subsequent year. The omnibus list shall include, at a minimum, the name of the 501(c)(3) organization, the name of the event, the type of lottery game, the event date for the event and the location or locations of the event. The omnibus list shall list 501(c)(3) organizations alphabetically by county in which the annual event is proposed to be operated.

(2) In addition to the omnibus list transferred to the clerk of the senate and the clerk of the house of representatives by March 1, 2009, the secretary shall transfer an additional omnibus list listing any organizations approved pursuant to subdivision (a)(1)(A)(ii) and subsection (f) for the annual event period beginning July 1, 2009, and ending June 30, 2010. The list shall be transferred in a manner consistent with subdivision (b)(1) by twelve o'clock (12:00) noon central daylight time (CDT) within thirty (30) calendar days after May 7, 2009.

(3) In addition to the omnibus lists transferred to the clerk of the senate and the clerk of the house of representatives by March 1, 2010, the secretary shall transfer an additional omnibus list listing any organizations approved pursuant to subdivision (a)(1)(A)(iii) and subsection (f) for the annual event period beginning July 1, 2010, and ending June 30, 2011. The list shall be transferred in a manner consistent with subdivision (b)(1) by twelve o'clock (12:00) noon central daylight time (CDT) within thirty (30) calendar days after March 25, 2010.

(4) In addition to the omnibus lists transferred to the clerk of the senate and the clerk of the house of representatives pursuant to subdivisions (b)(1) and (3), the secretary shall transfer an additional omnibus list listing any organizations approved pursuant to subdivision (a)(1)(A)(iv) and subsection (f) for the annual event period beginning July 1, 2010, and ending June 30, 2011. The list shall be transferred in a manner consistent with subdivision (b)(1) by twelve o'clock (12:00) noon central standard time (CST) within ten (10) calendar days after March 24, 2011.

(5) In addition to the omnibus lists transferred to the clerk of the senate and the clerk of the house of representatives pursuant to subdivision (b)(1), the secretary shall transfer an additional omnibus list listing any organizations approved pursuant to subdivision (a)(1)(A)(v) and subsection (f) for the annual event period beginning July 1, 2011, and ending June 30, 2012. The list shall be transferred in a manner consistent with subdivision (b)(1) by twelve o'clock (12:00) noon central standard time (CST) within ten (10) calendar days after March 24, 2011.

(6) In addition to the omnibus lists transferred to the clerk of the senate and the clerk of the house of representatives pursuant to subdivisions (b)(1) and (5), the secretary shall transfer an additional omnibus list listing any organizations approved pursuant to subdivision (a)(1)(A)(vi) and subsection (f) for the annual event period beginning July 1, 2011, and ending June 30, 2012. The list shall be transferred in a manner consistent with subdivision (b)(1) by twelve o'clock (12:00) noon central standard time (CST) within five (5) calendar days after April 16, 2012.

(7) In addition to the omnibus lists transferred to the clerk of the senate and the clerk of the house of representatives pursuant to subdivision (b)(1), the secretary shall transfer an additional omnibus list listing any organizations approved pursuant to subdivision (a)(1)(A)(vii) and subsection (f) for the annual event period beginning July 1, 2012, and ending June 30, 2013. The list shall be transferred in a manner consistent with subdivision (b)(1) by twelve o'clock (12:00) noon central daylight time (CDT) within ten

(10) calendar days after April 17, 2012.

(8) In addition to the omnibus lists transferred to the clerk of the senate and the clerk of the house of representatives pursuant to subdivision (b)(1), the secretary shall transfer an additional omnibus listing of any organizations approved pursuant to subdivision (a)(1)(A)(viii) and subsection (f) for the annual event period beginning July 1, 2013, and ending June 30, 2014. The list shall be transferred in a manner consistent with subdivision (b)(1) by twelve o'clock (12:00) noon central daylight time (CDT) within five (5) calendar days after April 8, 2013.

(c) Upon authorization by the general assembly, the clerk of the house last approving such authorization shall transmit a copy of such authorization to the secretary and to each district attorney general. The secretary shall transmit such authorization to each authorized 501(c)(3) organization at the mailing address listed in such organization's annual event application; provided, that in the case of an organization with multiple chapters, branches or affiliates in Tennessee, such authorization shall be transmitted only to the primary mailing address of the applicant. Such authorization shall be posted on the web site of the secretary with such additional information as the secretary deems appropriate. At a minimum, the secretary shall post the name of the 501(c)(3) organization, the name of the event, the type of lottery game, the event date for the event and the location, or locations, of the event.

(d) (1) (A) An authorized annual event shall be held within twenty-eight (28) calendar days of the event date listed in the annual event application; provided, that for the annual event period beginning July 1, 2011, and ending June 30, 2012, an authorized annual event shall be held within forty-five (45) calendar days of the event date listed in the annual event application; provided further, that nothing in this subdivision (d)(1) shall be construed as allowing two (2) annual events in any one-year period or as allowing a 501(c)(3) organization to operate an annual event at authorized multiple locations on separate days.

(B) A 501(c)(3) organization shall give notice to each chief law enforcement officer of the county or municipality in which the annual event shall be conducted one hundred thirty (130) days prior to the event date listed in the annual event application; provided, that if the event date is within one hundred thirty (130) days from notification of authorization to conduct an annual event, the 501(c)(3) organization shall immediately, upon receipt of such notification and prior to the commencement of selling any tickets, shares, chances or similar records, give notice to the chief law enforcement officer of each county or municipality in which the annual event shall be conducted. In accordance with subdivision (d)(1)(A), if the actual event date is different than the event date listed in the annual event application, a 501(c)(3) organization shall give an additional notice to each chief law enforcement officer of the county or municipality in which the annual event shall be conducted prior to conducting the annual event. For the purposes of this subdivision (d)(1)(B), "notice" means a letter sent by certified mail, or by actual physical delivery of a letter to the chief law enforcement officer or such officer's designee, containing, at a minimum, the following information:

(i) The name of the 501(c)(3) organization;

(ii) The name of the event;

(iii) The location of the event, including the physical address where the annual event will be conducted;

(iv) The type of lottery game to be conducted;

(v) The event date for the event listed in the annual event application;

(vi) If applicable, the actual event date for the annual event if different than the event date listed in the annual event application;

(vii) If applicable, additional locations of the event, including the physical address where the annual event will be conducted, if such event will be operated at authorized multiple locations;

(viii) The name, address and telephone number of the 501(c)(3) organization's chair, president or

chief administrative officer; and

(ix) If applicable, the name, address and telephone number of the person responsible for the operation of the annual event for the 501(c)(3) organization, if different than the organization's chair, president or chief administrative officer.

(2) Except as provided in subdivision (d)(3), upon receipt of authorization from the secretary pursuant to subsection (c), a 501(c)(3) organization may conduct all necessary activities for such event including, but not limited to, planning, advertising, promoting, printing of materials and tickets, shares, chances or similar records and the transportation of such records and other devices.

(3) A 501(c)(3) organization, or any person authorized pursuant to subdivision (a)(5)(A) on behalf of the 501(c)(3) organization, may sell tickets, shares, chances or similar records on the actual date of the annual event and for one hundred twenty (120) days immediately preceding the event date listed in the application and for any period after the event date listed in the annual event application but prior to the actual date of the annual event if such actual date is after the event date in accordance with the provisions of subdivision (d)(1). No person shall sell tickets, shares, chances or similar records outside of the period authorized by this subdivision (d)(3). Notwithstanding any provision of this chapter to the contrary, the secretary shall establish rules and regulations concerning modification of the actual dollar amount at which a ticket, share, chance or other similar record shall be sold by a 501(c)(3) organization authorized to conduct an annual event; provided, that only one (1) such modification shall be made prior to the sale of any ticket, share, chance or other similar record and only in an amount within fifty dollars (\$50.00) of the actual dollar amount disclosed pursuant to § 3-17-104(a)(14)(B).

(e) (1) Within ninety (90) days following the event date listed in the annual event application, a financial accounting as required pursuant to the provisions of § 3-17-106 shall be submitted by the organization to the secretary.

(2) For purposes of this chapter, the postmark date on the financial accounting shall be considered the date of submission.

(3) The secretary shall post such accounting, or a synopsis of such accounting, on the web page of the secretary.

(f) (1) Notwithstanding any provision of this chapter to the contrary, a 501(c)(3) organization seeking to operate an annual event for the benefit of that organization located in this state that does not intend to raise gross revenue from the annual event exceeding five thousand dollars (\$5,000) shall submit an annual event application to the secretary:

(A) By December 31, 2008, for the annual event period beginning July 1, 2009, and ending June 30, 2010, and by December 31 in subsequent years, for subsequent annual event periods;

(B) Notwithstanding any provision of this chapter to the contrary, within fifteen (15) calendar days after May 7, 2009, for the annual event period beginning July 1, 2009, and ending June 30, 2010;

(C) Notwithstanding any provision of this chapter to the contrary, within fifteen (15) calendar days after March 25, 2010, for the annual event period beginning July 1, 2010, and ending June 30, 2011;

(D) Notwithstanding any provision of this chapter to the contrary, within five (5) calendar days after March 24, 2011, for the annual event period beginning July 1, 2010, and ending June 30, 2011;

(E) Notwithstanding any provision of this chapter to the contrary, within five (5) calendar days after March 24, 2011, for the annual event period beginning July 1, 2011, and ending June 30, 2012;

(F) Notwithstanding any provision of this chapter to the contrary, within two (2) calendar days after April 16, 2012, for the annual event period beginning July 1, 2011, and ending June 30, 2012;

(G) Notwithstanding any provision of this chapter to the contrary, within three (3) calendar days after April 17, 2012, for the annual event period beginning July 1, 2012, and ending June 30, 2013; and

(H) Notwithstanding any provision of this chapter to the contrary, within three (3) calendar days after April 8, 2013, for the annual event period beginning July 1, 2013, and ending June 30, 2014.

(2) For purposes of the submission deadline provided in subdivision (f)(1)(A) or (f)(1)(H), an annual event application shall not be considered submitted to the secretary until in the physical possession of the secretary as evidenced by the secretary's date and time endorsement on such documentation.

(3) For purposes of the submission deadline provided in subdivision (f)(1)(B), the postmark date on the annual event application shall be considered the date of filing.

HISTORY: Acts 2004, ch. 476, § 2; 2004, ch. 620, §§ 1-3; 2004, ch. 890, § 1; 2005, ch. 207, §§ 1-8; 2006, ch. 508, §§ 1-3; 2007, ch. 18, §§ 1-8; 2008, ch. 997, § 2; 2009, ch. 177, §§ 2-5; 2010, ch. 656, §§ 2-4; 2011, ch. 10, §§ 1-6; 2012, ch. 747, §§ 4-6; 2012, ch. 758, §§ 1-6; 2013, ch. 109, §§ 1-5.

Tenn. Code Ann. § 3-17-104

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*** Current through the 2013 Regular Session ***

Title 3 Legislature
Chapter 17 Tennessee Charitable Gaming Implementation Law

Tenn. Code Ann. § 3-17-104 (2013)

3-17-104. Annual event application -- Requirements.

(a) All annual event applications shall be submitted to the secretary. For the annual event period beginning July 1, 2004, and ending June 30, 2005, such applications shall be submitted by twelve o'clock (12:00) noon central daylight time (CDT) on April 20, 2004. Except as provided in § 3-17-103, for the annual event period beginning July 1, 2005, and ending June 30, 2006, such applications shall be submitted from July 1, 2004, through October 31, 2004. Except as provided in § 3-17-103, for subsequent annual event periods, such applications shall be submitted from July 1 through December 31 in any subsequent year. Such applications shall include:

(1) The name of the 501(c)(3) organization and the purpose for which it was organized;

(2) (A) The physical address in Tennessee of the 501(c)(3) organization; provided, however, that if the organization has multiple chapters or affiliates in Tennessee operating under the same tax exemption, the physical addresses of such multiple locations. For the purposes of this chapter, a post office box, or similar address at a mail or package delivery service, shall not be considered a physical address; and

(B) If the principal office of the 501(c)(3) organization is outside Tennessee, the physical address of such principal office;

(3) (A) The mailing address, in Tennessee, of the 501(c)(3) organization. For the purposes of this chapter, such mailing address shall serve as the primary mailing address of the applicant; provided, however, that if the organization has multiple chapters or affiliates in Tennessee operating under the same tax exemption, the mailing addresses of such multiple locations;

(B) If the principal office of the 501(c)(3) organization is outside Tennessee, the mailing address of such principal office; and

(C) The 501(c)(3) organization shall designate a named person who is a citizen of Tennessee to receive process at the primary mailing address of the applicant. The name of such person shall be listed in the annual event application;

(4) (A) The telephone number in Tennessee of the 501(c)(3) organization or its chair, president or chief administrative officer; and

(B) If the principal office of the 501(c)(3) organization is outside Tennessee, the telephone number of such principal office;

(5) The place where, and the date when, the organization was legally established and documentation from the internal revenue service recognizing the 501(c)(3) organization's tax exempt status. Such documentation shall be supported by an affidavit from the 501(c)(3) organization's chair, president or chief administrative officer affirming that the organization's 501(c)(3) status has not been revoked;

(6) A copy of organizational documents and any other documents that prove to the satisfaction of the secretary that the organization is a 501(c)(3) organization as defined in § 3-17-102. The secretary may promulgate rules and regulations as to the type and quantity of documentation necessary for proof of continuous and active existence. The documentation shall be supported by an affidavit signed by the 501(c)(3) organization's chair, president or chief administrative officer and secretary affirming that the organization is a 501(c)(3) organization as defined in § 3-17-102;

(7) [Deleted by 2007 amendment.]

(8) (A) For annual event applications submitted prior to November 1, 2004:

(i) A copy of the 501(c)(3) organization's last five (5) annual reports filed with the internal revenue service, Form 990, 990-EZ, or 990-PF, and any attached schedules for the five-year period immediately preceding the annual event application; or

(ii) If the organization has not filed any such annual reports with the internal revenue service or has not filed five (5) consecutive annual reports for the five-year period immediately preceding the annual event application, an affidavit from the 501(c)(3) organization's chair, president or chief administrative officer affirming that the organization has not filed any annual reports or has not filed five (5) consecutive annual reports and shall begin to file annual reports as required by the provisions of this chapter. In addition, any such organization shall submit copies of any annual reports filed with the internal revenue service within the five-year period preceding the application;

(B) For annual event applications submitted between July 1, 2005, and June 30, 2006:

(i) A copy of the 501(c)(3) organization's last five (5) annual reports filed with the internal revenue service, Form 990, 990-EZ, or 990-PF, and any attached schedules for the five-year period immediately preceding the annual event application; or

(ii) If the organization has not filed five (5) consecutive annual reports for the five-year period immediately preceding the annual event application, a copy of the 501(c)(3) organization's annual report filed with the internal revenue service, Form 990, 990-EZ, or 990-PF, for the preceding year and any attached schedules and copies of any other annual reports filed with the internal revenue service within the five-year period preceding the application;

(C) (i) For annual event applications submitted on and after July 1, 2006;

(a) A copy of the 501(c)(3) organization's last annual report filed with the internal revenue service, Form 990, 990-EZ, or 990-PF, and any attached schedules for the organization's tax year ending immediately preceding the annual event application; or

(b) If the organization has not filed an annual report with the internal revenue service for the organization's tax year ending immediately preceding the annual event application, an affidavit from the 501(c)(3) organization's chair, president or chief administrative officer affirming that the organization has

not filed an annual report and shall begin to file annual reports as required by the provisions of this chapter; provided, that an organization may submit an affidavit under this subdivision (a)(8)(C)(i)(b) in lieu of the requirements of subdivision (a)(8)(C)(i)(a) only one (1) time.

(ii) In addition to the requirements of this subdivision (a)(8)(C), the secretary may request copies of the 501(c)(3) organization's last five (5) annual reports filed with the internal revenue service, Form 990, 990-EZ, or 990-PF, and any attached schedules for the five-year period immediately preceding the annual event application. An organization shall submit to the secretary any documents requested pursuant to this subdivision (a)(8)(C)(ii), if such documents are available and, if such documents are not available, such organization shall submit an affidavit from the 501(c)(3) organization's chair, president or chief administrative officer affirming that such documents are unavailable and stating the reason for such documents' unavailability.

(9) A waiver of privacy rights, on a form provided by the secretary, which will allow posting of documents on the secretary's web site and inspection by any member of the public of tax forms and documents filed pursuant to this chapter;

(10) The names and addresses of the officers, directors, trustees, and the principal salaried executive staff officer of the 501(c)(3) organization;

(11) A statement that no officer, director, trustee, or the principal salaried executive staff officer of the 501(c)(3) organization has been convicted of a violation of § 39-14-103, § 39-14-104, § 39-14-105, § 39-16-702, § 39-16-703, title 39, chapter 17, parts 5 or 6, or a similar offense in another jurisdiction;

(12) A copy of the minutes from the meeting of the 501(c)(3) organization, signed and attested by the board secretary, indicating the intent to operate an annual event if authorized by the general assembly; provided, that:

(A) If a 501(c)(3) organization's by-laws authorize an executive committee to act on behalf of the full board, such minutes shall reflect an affirmative vote by a majority of the executive committee of the board of directors or trustees of the organization to operate such annual event. In lieu of a copy of the minutes, an organization may submit an affidavit signed by all members of the executive committee of the board of directors or trustees of the organization indicating the intent to operate an annual event, if authorized by the general assembly; and

(B) If a 501(c)(3) organization's by-laws do not authorize the action by an executive committee, pursuant to subdivision (a)(12)(A), the minutes shall reflect approval by the number of board members required by the charter and bylaws to take action under § 48-58-205 to operate the annual event. In lieu of a copy of the minutes, an organization may submit an affidavit signed by all members of the board of directors indicating the intent to operate an annual event, if authorized by the general assembly;

(13) The name of the annual event;

(14) (A) The single type of lottery game to be conducted and a description of the game; and

(B) The estimated number of tickets, shares, chances or other similar records to be offered and the actual dollar amount at which a ticket, share, chance or other similar record shall be sold;

(15) The event date; provided, however, that the event date shall be selected within a twelve-month period beginning July 1 following the application deadline and ending the next June 30;

(16) The location or locations of the annual event, including the physical site in each county identified by an address or unique descriptive feature at which the annual event will be operated in accordance with § 3-17-103(a)(3)(B)(i);

(17) If applicable, the event date of the last annual event held, or to be held, by the organization;

(18) If applicable, in accordance with § 3-17-103(a)(4)(ii), a joint statement of authorization indicating the intention to conduct a joint annual event and listing all organizations participating in such joint event.

For the purposes of this subdivision (a)(18), the applicant shall list each organization that will participate in the joint event and shall include each such organization's physical address and mailing address in Tennessee;

(19) The charitable, religious, educational, scientific or other humanitarian purposes or programs for which the funds derived from the annual event shall be used;

(20) The names of the individuals or officers of the organization who will have final responsibility for the custody of the funds derived from the annual event;

(21) The names of the individuals or officers of the organization responsible for the final distribution of the funds derived from the annual event; and

(22) The appropriate application fee.

(b) The secretary shall develop a uniform application form for annual event applications. The secretary is encouraged to utilize, to every extent possible, web-based forms and procedures for annual event applications.

(c) (1) An application fee shall be paid at the time of submission of an annual event application. Annual event applications shall not be accepted by the secretary unless accompanied by the appropriate application fee.

(2) The secretary shall collect a reasonable fee for annual event applications. No fee shall exceed seven hundred dollars (\$700). The secretary may establish a fee structure providing a reduced fee for organizations submitting annual event applications pursuant to subsection (e) and § 3-17-103(f); provided, that for the annual event period beginning July 1, 2005, and ending June 30, 2006, such reduced fee shall be one hundred fifty dollars (\$150). Funds collected under the provisions of this chapter shall be used by the secretary and the Tennessee bureau of investigation to defray the cost of administering this chapter, including, but not limited to, the cost of investigations pursuant to § 3-17-113.

(3) Annual event application fees are nonrefundable; provided, that an organization that filed an annual event application and paid the appropriate application fee prior to July 1, 2005, but failed to qualify for inclusion on an omnibus list due to the fact that the organization had not sought formal recognition of 501(c)(3) status with the internal revenue service shall be issued a credit for filing one (1) annual event application to be used by December 31, 2008, and after such organization files the appropriate documentation with the internal revenue service and otherwise complies with the provisions of this part.

(4) No additional application fee shall be required from any organization that previously submitted an annual event application for the same organization, that was subsequently rejected, during the application period ending November 1, 2004. This subdivision (c)(4) only applies to applications submitted pursuant to former § 3-17-103(a)(1) [repealed] or § 3-17-103(f)(1)(A).

(d) All annual event applications shall be signed by the 501(c)(3) organization's chair, president or chief administrative officer and the preparer of the application. Such persons shall certify under oath and subject to criminal penalties, including perjury, that the information contained in the annual event application is true and accurate.

(e) (1) Notwithstanding any other provision of this section to the contrary, a 501(c)(3) organization filing an annual event application pursuant to § 3-17-103(f) shall submit, on a form prescribed by the secretary, the following information:

(A) The name and mailing address of the 501(c)(3) organization;

(B) The name of the event;

(C) The date of the event;

(D) The location of the event;

(E) A description of the type of lottery game to be conducted;

(F) A description of the charitable use of the proceeds from the event;

(G) The name and telephone number of a contact person for the event;

(H) A copy of the organization's determination letter from the internal revenue service showing that the organization is exempt from federal income taxation under § 501(c)(3) of the Internal Revenue Code;

(I) A sworn statement that the organization has been in continuous and active existence as a 501(c)(3) organization located in Tennessee; and

(J) A sworn statement that the organization does not intend to gross in excess of five thousand dollars (\$5,000) from the event, if authorized by the general assembly.

(2) All provisions of this chapter not inconsistent with this subsection (e) shall apply to a 501(c)(3) organization submitting an application pursuant to § 3-17-103(f).

HISTORY: Acts 2004, ch. 476, § 2; 2004, ch. 620, §§ 4-7; 2004, ch. 890, § 2; 2005, ch. 207, §§ 9-14; 2006, ch. 508, §§ 4-6; 2007, ch. 18, §§ 9, 10, 15; 2009, ch. 177, § 6; 2012, ch. 747, § 3.

Tenn. Code Ann. § 3-17-105

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*** Current through the 2013 Regular Session ***

Title 3 Legislature
Chapter 17 Tennessee Charitable Gaming Implementation Law

Tenn. Code Ann. § 3-17-105 (2013)

3-17-105. Omnibus list.

(a) The secretary shall examine each annual event application submitted under this chapter for inclusion on the omnibus list. An annual event shall be included on the omnibus list if:

(1) All annual event application filing requirements of § 3-17-104 are met;

(2) The secretary determines that the 501(c)(3) organization has been recognized by the internal revenue service as a tax exempt 501(c)(3) organization and that such exemption is valid at the time of filing an annual event application;

(3) The secretary determines that the organization is a 501(c)(3) organization as defined in § 3-17-102; and

(4) The type of lottery game is authorized by the provisions of this chapter and article XI, § 5 of the Constitution of Tennessee.

(b) (1) The secretary shall establish rules and regulations concerning the acceptance of amendments to annual event applications otherwise consistent with the provisions of this chapter including, but not limited to, amendments concerning conflicting locations for an annual event.

(2) Notwithstanding any provision of law to the contrary, an organization may submit a request for a location or date change, regardless of whether such location or date is in actual conflict with another organization, to the secretary no later than twelve o'clock (12:00) noon central daylight time (CDT) on May 10, 2004, and no later than twelve o'clock (12:00) noon central standard time (CST) on the first day in February in any subsequent year.

(c) The secretary shall include all qualified annual event applicants on an omnibus list to be transmitted to the general assembly pursuant to the provisions of § 3-17-103(b).

(d) (1) Except as provided in subdivision (d)(2)(B), no extension of time shall be granted for submission, or completion, of an annual event application after the application deadline has passed for the appropriate annual event period.

(2) (A) Except as provided in subdivision (d)(2)(B), the secretary shall have no authority to accept, and shall not accept, an annual event application, or an amendment to an annual event application, submitted after the application deadline has passed for the appropriate annual event period as established pursuant to § 3-17-103(a)(1) or (f).

(B) For annual event applications submitted by twelve o'clock (12:00) noon central daylight time (CDT) on April 20, 2004, for the annual event period beginning July 1, 2004, and ending June 30, 2005, prior to November 1, 2004, for the annual event period beginning July 1, 2005, and ending June 30, 2006, and prior to January 1 in any subsequent year for subsequent annual event periods, the secretary shall notify any organization that would not otherwise be included on the omnibus list of the reason, or reasons, why such organization would not be included. Such notification shall be made prior to May 10, 2004, and by January 15th in any subsequent year. Any such organization may submit an amended annual event application to the secretary no later than twelve o'clock (12:00) noon central daylight time (CDT) on May 10, 2004, and no later than twelve o'clock (12:00) noon central standard time (CST) on the first day in February in any subsequent year. Any such annual event shall be included on the omnibus list if the amended annual event application complies with the provisions of this chapter.

(e) An annual event application may be permanently withdrawn prior to the date of transmission of the omnibus list to the general assembly; provided, that once withdrawn, the 501(c)(3) organization may not resubmit an annual event application for the annual event period in which the previously submitted application was withdrawn.

(f) If an annual event application is not included in the omnibus list, the secretary shall transmit notification to the applicant stating the basis for such non-inclusion. The secretary shall transmit such notice to the applicant at the primary mailing address listed in such applicant's annual event application.

(g) An applicant whose application is not included in the omnibus list may request in writing that the secretary reconsider the determination; provided, that such written request is filed with the secretary within ten (10) calendar days from the date of notification of non-inclusion. The secretary shall reconsider such determination and issue a final decision within ten (10) calendar days of receipt of such written request for reconsideration.

(h) (1) Review of final decisions of the secretary shall be heard by the Tennessee claims commission in accordance with rules and regulations promulgated by the commission. It is the intent of the general assembly that reviews pursuant to this subsection (h) shall be heard on an expedited basis. The venue for any such review shall be in the middle division of the Tennessee claims commission.

(2) A petition for review shall be filed not later than ten (10) calendar days after issuance of the final decision by the secretary. Copies of the petition shall be served upon the secretary and the attorney general and reporter.

(3) The review shall be conducted by the claims commission on the small claims docket pursuant to § 9-8-403 and shall be confined to the record of proceedings before the secretary.

(4) The claims commission shall issue written findings of fact and conclusions of law as to whether the secretary's decision was:

(A) Clearly erroneous; or

(B) Arbitrary and capricious.

(5) The claims commission shall have no authority to award monetary damages in any review made pursuant to this section.

HISTORY: Acts 2004, ch. 476, § 2; 2004, ch. 620, §§ 8, 9; 2004, ch. 890, § 3; 2005, ch. 207, § 15; 2006, ch. 508, § 7; 2009, ch. 177, § 7.

Tenn. Code Ann. § 3-17-106

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*** Current through the 2013 Regular Session ***

Title 3 Legislature
Chapter 17 Tennessee Charitable Gaming Implementation Law

Tenn. Code Ann. § 3-17-106 (2013)

3-17-106. Financial accounting -- Requirements.

(a) An organization authorized by the general assembly to operate an annual event shall file, within ninety (90) calendar days following the actual event date, a financial accounting with the secretary in accordance with this section.

(b) For events grossing thirty thousand dollars (\$30,000) or less, the organization shall file a financial accounting, on a form prescribed by the secretary, showing the following:

(1) The gross amount of money received from the annual event;

(2) The amount of money expended by the organization including, for amounts exceeding one hundred dollars (\$100), the name and address of the payee, the category of expense, and the amount expended;

(3) The amount of money disbursed, or to be disbursed, to the charitable programs or purposes of the 501(c)(3) organization including, but not limited to, sufficient documentation indicating that all of the gross proceeds, less any amount expended pursuant to § 3-17-103(a)(5)(B), have been used, or have been earmarked, for the purposes or programs described in § 3-17-104(a)(19); and

(4) A list of all prize winners, including their names and addresses, of cash, goods or services valued at more than fifty dollars (\$50.00) and the prize received.

(c) For events grossing more than fifty thousand dollars (\$50,000), the organization shall file an audited financial statement prepared by an independent certified public accountant or an independent public accountant, on a form prescribed by the secretary, showing the following:

(1) The gross amount of money received from the proceeds of the annual event;

(2) The amount of money disbursed, or to be disbursed, to the charitable programs or purposes of the 501(c)(3) organization including, but not limited to, sufficient documentation indicating that all of the gross proceeds, less any amount expended pursuant to § 3-17-103(a)(5)(B), have been used, or have been earmarked, for the purposes or programs described in § 3-17-104(a)(19);

(3) An itemized list, including the name and address of the payee, of the amounts spent for all expenses; provided, that individual expenses of one hundred dollars (\$100) or less may be listed as miscellaneous expenses, by category, so long as the aggregate sum of all miscellaneous expenses is less than five thousand dollars (\$5,000); and

(4) A list of all prize winners, including their names and addresses, of cash, goods or services valued at more than fifty dollars (\$50.00) and the prize received.

(d) In the case of an annual event held jointly by two (2) or more 501(c)(3) organizations as provided in § 3-17-103(a)(4), the financial accounting filed pursuant to this section shall be based on the gross amount of money jointly received and shall, in addition to the applicable requirements of subsection (b) or (c), show the amount disbursed, or to be disbursed, to each participating 501(c)(3) organization. Such organizations may file the same financial accounting; provided, that the signature requirements of subsection (e) are satisfied.

(e) For events grossing thirty thousand dollars (\$30,000) or less, all financial accountings required by this section shall be signed by the chair, president or chief administrative officer of the 501(c)(3) organization and the preparer of the report, or, if the chair, president or chief administrative officer is the preparer of the report, by such person and by one additional officer of the 501(c)(3) organization. For events grossing more than thirty thousand dollars (\$30,000), all financial accountings required by this section shall be signed by the chair, president or chief administrative officer of the 501(c)(3) organization and the preparer of the report. Such persons shall certify under oath and subject to criminal penalties, including perjury, that the information contained in the report is a true and accurate accounting of the funds received and expended during operation of the annual event.

(f) (1) A 501(c)(3) organization that has received authorization to conduct an annual event, or conduct an annual event at multiple locations, may, at the discretion of the organization, cancel an annual event, or, if authorized at multiple locations, cancel a location of the annual event; provided, that:

(A) An affidavit from the 501(c)(3) organization's chair, president or chief administrative officer is filed with the secretary and the chief law enforcement officer of the county or municipality stating that the annual event, or a location of a multiple location annual event, is cancelled, and the nature of the cancellation, within ten (10) calendar days of the decision to cancel the event or location. Such cancellation shall be posted on the web site of the secretary. Notwithstanding any provision of this chapter to the contrary, if a single location annual event is cancelled, no other notice to the chief law enforcement officer of the county or municipality or a financial accounting shall be required, except as provided in subdivision (f)(1)(B); if a location of a multiple location annual event is cancelled, no other notice to the chief law enforcement officer of the county or municipality of the cancelled location is required; and

(B) If cancellation occurs after the commencement of the sale of tickets, shares, chances or similar records, a full refund is offered for at least ninety (90) days following cancellation; provided, that if a location of a multiple location annual event is cancelled, only tickets, shares, chances or similar records for the cancelled location shall be required to be offered for at least ninety (90) days following cancellation. A 501(c)(3) organization shall give reasonable public notice of cancellation in the area in which tickets, shares, chances or similar records were sold, including the terms of the refund offered. Such terms shall be included in the affidavit required pursuant to subdivision (f)(1)(A), including a mailing or physical address to submit a refund claim; and, within ninety (90) days of cancellation of an annual event, or a location of a multiple location annual event, the organization shall file an accounting of tickets sold, refunds made and ticket proceeds remaining with the secretary and the chief law enforcement officer of the county or municipality. Any remaining ticket proceeds shall be used in furtherance of the charitable purposes or programs described in § 3-17-104(a)(19) of the organization's annual event application.

(2) No annual event cancelled pursuant to the provisions of this subsection (f) may be conducted during the annual event period. No multiple location annual event for which a location is cancelled pursuant to the provisions of this subsection (f) may be conducted at such cancelled location during the annual event period.

(g) (1) Notwithstanding any other provision of this section to the contrary, for authorized annual events

conducted pursuant to applications filed under the provisions of §§ 3-17-103(f) and 3-17-104(e), the organization shall file a financial accounting, on a form prescribed by the secretary, including the following:

(A) The gross amount of money received from the annual event;

(B) The amount expended for prizes and administrative costs; and

(C) The amount of money disbursed, or to be disbursed, to the charitable programs or purposes of the 501(c)(3) organization.

(2) (A) If the secretary determines that the gross revenue reported in subdivision (g)(1) exceeds five thousand (\$5,000) dollars, the 501(c)(3) organization shall remit to the secretary the full application fee as required pursuant to § 3-17-104(c)(2), less the reduced fee remitted with the annual event application. Any payment to be remitted pursuant to this subdivision (g)(2)(A) shall be submitted with the financial accounting report.

(B) An organization required to remit an additional payment pursuant to subdivision (g)(2)(A) shall, in the next annual event application period, pay the full application fee as required pursuant to § 3-17-104(c)(2).

HISTORY: Acts 2004, ch. 476, § 2; 2005, ch. 207, § 16; 2007, ch. 18, §§ 11, 12.